

Kai Gu

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Education

Ph.D. in Economics, University of Wisconsin–Madison	2019–2026 (defense Fall 2026)
Advisors: Christopher Taber, Jesse Gregory	
M.S. in Economics, University of Wisconsin–Madison	2017–2019
B.S. in Mathematics, Fuzhou University, China	2012–2016

Research Fields

Urban and Regional Economics; International Trade; Public Economics (Fiscal Federalism); Development Economics; Applied Econometrics

Job Market Paper

Fenced Off: Export Processing Zones and the Local Economy in China

Data: China’s census of manufacturers, customs transaction records, and business registrations, geocoded around all 60 export processing zones (EPZs). *Method:* event studies that track each location’s exposure to overlapping zones, with not-yet-approved sites as controls, and an estimated model of how development zones ration admission slots. *Results:* within 20 km of a zone, entry of new domestic firms fell by 20 percent, concentrated among the smallest projects and as large around fences that attracted almost no exports; incumbent employment, wages, and foreign entry did not change. The fence took about 19 percent of the host zone’s admission slots, while domestic value added was at most 28 cents per exported dollar in the median zone; outside five hubs, 84 percent of zones displaced more local value added than they paid in local wages. *Contribution:* shows that a fenced zone’s own activity is a poor guide to its effect on the host economy, and prices the admission capacity a zone occupies.

Working Papers

- **Who Bears the Cost of a Special Economic Zone? Incumbent Firms across Prefecture Borders in China**
Compares incumbent manufacturers at the same distance from an EPZ on either side of the host prefecture’s border, using firm microdata geocoded to the village and a model of a commuting labor market with a home-biased host government. Host-side incumbents are shielded; across the border, incumbents 40–80 km away are 8.9 percentage points less likely to survive, the gap is concentrated where the neighbor is poorer, and firms almost never relocate. The cost of a zone is exported down the regional wage gradient to jurisdictions that did not choose it.
- **Activity or Capability? Export Processing Zones and Portable Export Experience in China**
Proposes a firm-level measure of export capability from customs data: whether experience helps a firm enter similar new markets. Processing experience in which the firm owns its imported materials carries about a third of the weight of ordinary exporting; experience processing consigned materials does not transfer. Five years after opening, zone exports equal 39 percent of nearby firms’ pre-

opening exports, yet the portable experience of nearby firms changes by 5 percent (s.e. 4), ruling out gains above 13 percent.

- **Enclaves or Engines? Export Processing Zones and Local Production Linkages in China**

Traces the backward-linkage chain with customs and manufacturing microdata, input–output tables, and stacked event studies. The domestic value-added ratio of fenced exports, an upper bound on local sourcing, was 0.27 in 2003; upstream supplier industries did not expand on average, and downstream processors did not respond when a 2005 reform opened sales across the fence. Physical concentration of activity did not become economic agglomeration.

- **Discovery Lags on Social Media Platforms** (with Arseniy Stolyarov)

Research Experience

Research Assistant to Prof. Xiaoxia Shi, UW–Madison 2018–2019

Research Assistant to Prof. Jon Eckhardt, UW–Madison 2018–2019

Teaching Experience

Teaching Assistant, University of Wisconsin–Madison, 2019–2025

Ph.D.: ECON 708 Microeconomics II (4 semesters); ECON 709 Economic Statistics and Econometrics I; ECON 706 Econometrics III; ECON 705 Econometrics II; ECON 700 Mathematics for Economists
Undergraduate: ECON 101 Principles of Microeconomics (4 semesters)

Awards and Fellowships

- Summer Research Group Scholarship, UW–Madison 2022, 2023, 2024, 2025
- JPGI Teaching Scholarship, UW–Madison 2024
- Juli Plant Grainger Summer Research Fellowship, UW–Madison 2023

Skills

Programming: Python, Stata, R, Julia, MATLAB

Methods: stacked event studies with not-yet-treated controls, overlapping-exposure and spatial-spillover designs, border comparisons, wild and score bootstrap inference, minimum-distance estimation of structural models, input–output linkage analysis

Data: Chinese census of manufacturers, customs transactions (2000–2011), business registrations, industrial land transactions, input–output tables, village-level geocoding

Languages: Chinese (native), English (fluent)

References

Christopher Taber

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Jesse Gregory

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